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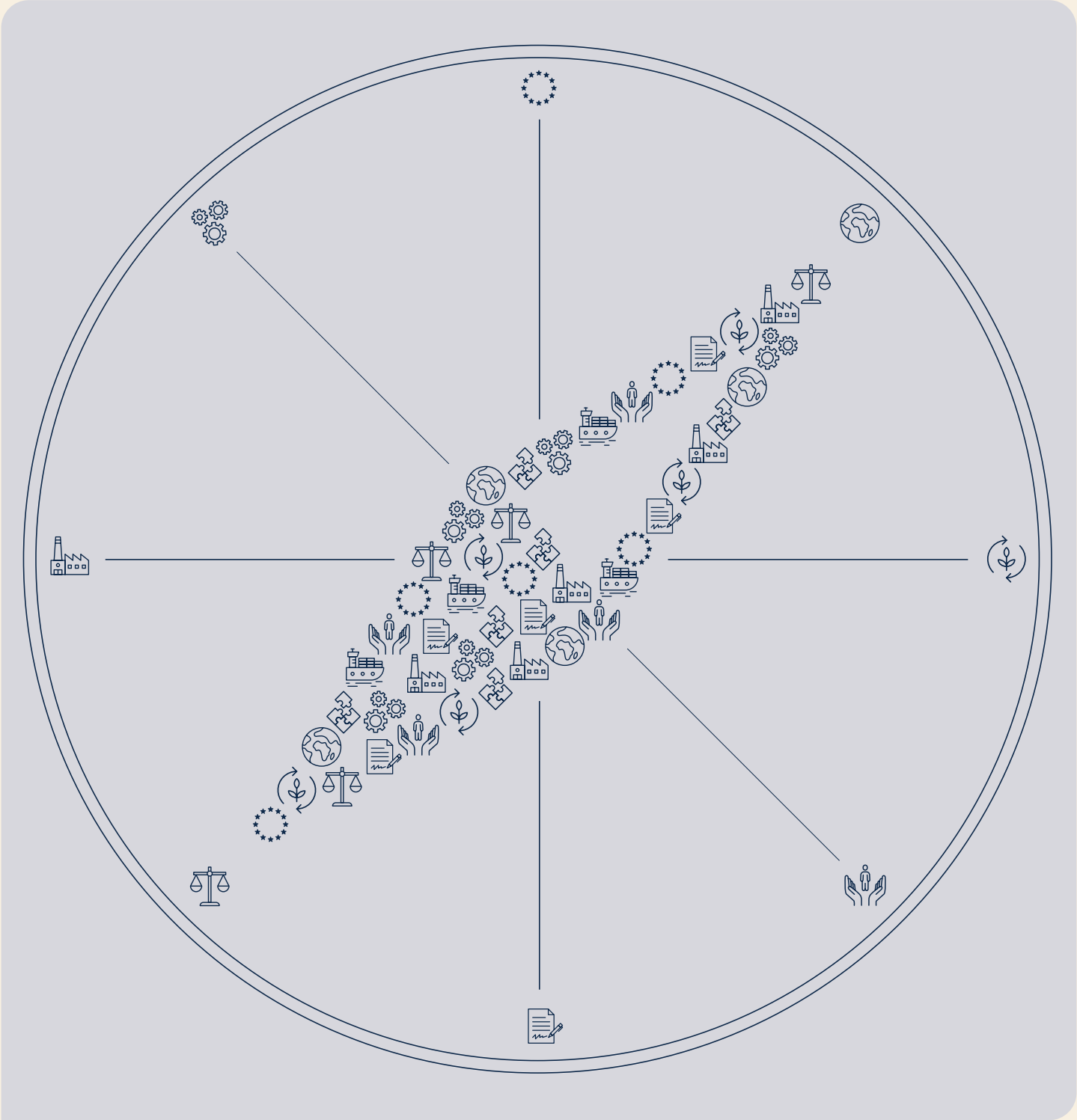
Making the Corporate Sustainability Due Diligence Directive work for people

An accompanying brief



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This accompanying brief should be read in conjunction with the publication "Making the Corporate Sustainability Due Diligence Directive work for people: Guidance for effective transposition and implementation".

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Executive summary

As we now turn to the transposition and implementation of the Corporate Sustainability Due Diligence Directive (CSDDD), it is essential to maintain focus on the objective of the instrument: to contribute to a sustainable economy while addressing adverse human rights and environmental impacts connected to business activities. Although the Omnibus I amendments introduced certain reductions and limitations to the Directive, this underlying objective remains unchanged. As the Directive moves into the transposition and implementation phase, it will therefore be important to approach its interpretation and application in a purposive manner, keeping in mind both the broader objectives of the Directive and the framework provided by the United Nations Guiding Principles on Business and Human Rights (UNGPs).

Making the Corporate Sustainability Due Diligence Directive work for people: Guidance for effective transposition and implementation (the Guidance) highlights overarching principles which should be applied to transposition and implementation to encourage a holistic, risk-based approach to the interconnected obligations under the CSDDD which is grounded in the objectives of the instrument. Ensuring that the CSDDD is effective will require the contribution of a range of different actors: companies, policymakers and Civil Society Organisations (CSOs), trade unions and worker representatives (TUs) and National Human Rights Institutions (NHRIs).

This accompanying brief serves as an executive summary to the Guidance and provides an overview of its recommendations.

Cross-cutting recommendations

- **For companies:** Companies should take a purposive approach to implementation, informing their due diligence efforts with an understanding of their fundamental objective, asking "what is the objective of due diligence?" at all stages of the process. It is important to keep the UNGPs and OECD Guidelines for Multinational Enterprises on Responsible Business Conduct (OECD Guidelines) as key reference points to inform a holistic, risk-based approach which centres rightsholders and the environment. In practice, this involves considering contextual risk factors, communicating with business partners, engaging constructively with rightsholders, their representatives and relevant experts, and tailoring responses to the specific risks and needs identified on the ground. This kind of engagement should be seen as a means of facilitating effective due diligence, rather than a bureaucratic "add on". Such an approach requires flexibility and a holistic perspective when designing and implementing due diligence processes, guided by the core purpose of preventing, mitigating and remediating adverse impacts and contributing to better outcomes for people and the environment. Companies should make sure that the use of external support is appropriate and does not result in a company "outsourcing" its due diligence obligations to a third-party service provider or scheme. Requirements for remediation should be informed by the needs of stakeholders. These principles can help orient companies to conduct effective due diligence within their operational realities and the often complex environments in which they do business.

- **For policymakers:** Policymakers must ensure that the approach taken to supervision and enforcement reflects the objectives of due diligence, supports innovative practices and uses enforcement powers when necessary. It is critical that guidance and other support aligns with the objective of the CSDDD as articulated in the recitals and the UNGPs and OECD Guidelines. A coherent approach should be taken both in the approach to supervision of the CSDDD and related instruments, and to the development of accompanying measures, including ensuring that support is given not only to business, but also to other stakeholders, with a particular focus on supporting rightsholders.

- **For CSOs, TUs and NHRIs:** CSOs, TUs, NHRIs are vital actors to ensure that the CSDDD drives good outcomes for people and the environment. These actors can have a particular expertise in human rights or a particular issue, geography or context which can be essential to inform due diligence and ensure that the rightsholder perspective is placed at the centre.

These actors can engage with companies to provide such contextual information and expertise, as well as providing advice and expertise to supervisory authorities. They can help to ensure that a rightsholder centric approach is taken to monitoring compliance and assessing the effectiveness of company actions. This can include undertaking research and data gathering to assess the effectiveness and provide an evidence base to inform the review of the CSDDD to be undertaken by the Commission. Importantly they raise awareness and support rightsholders to exercise their rights under the CSDDD and leverage the CSDDD to strengthen human rights and environmental protection in other areas.

Recommendations by article

While a holistic approach should be taken, it is equally important to consider how these overarching principles should be considered in the context of the requirements of each of the operative articles. The recommendations below are directed to both to:

- **the transposition process,** as the Member States develop their transposition laws, supported by the European Commission (Commission). During transposition, stakeholders, including civil society actors and rightsholders' groups, NHRIs, TUs, and community and workers' organisations can advocate for the recommendations made below in their respective jurisdictions and with the Commission at EU-level; and

- **the implementation stage,** where companies will need to implement their obligations; policymakers at the national and EU level will variously supervise, enforce, provide guidance and other forms of support; and stakeholders, including civil society actors and rightsholders' groups, NHRIs, TUs, and community and workers' organisations can monitor compliance, engage as stakeholders with business, and support rightsholders to exercise their rights and seek remediation.

1 Personal scope:

The CSDDD applies direct obligations to the largest companies in the expectation that they will engage with their business partners to elevate standards across global value chains. Companies and policymakers should be encouraged to apply this logic to encourage the uptake of due diligence among companies within the value chains of in scope companies, with appropriate support given to SMEs.

Attention points for transposition

Member States should:

- Consider going beyond the Directive by expanding the personal scope to pursue alignment with the UNGPs and level the playing field for companies.
- Assess opportunities for including additional corporate forms, particularly in jurisdictions where there may be forms of companies recognised under the national laws of the Member States, such as cooperatives, which are not included in the definition of "company" under Art 3(1)(a).

Attention points for implementation

Member States and the Commission should:

- Seek to incentivise companies that fall outside the Directive's personal scope to undertake due diligence. This can include leveraging the broader support ecosystem created by the CSDDD, as well as drawing on other policy frameworks and investor and consumer expectations to promote alignment with responsible business standards.
- Provide clear guidance for in-scope companies on how to effectively support SME business partners and separately issue tailored guidance for companies beyond the Directive's formal scope, clarifying the requirements that may affect them and the support mechanisms available.
- Strengthen EU-level coordination and capacity-building of Supervisory Authorities to mitigate potential uneven supervisory burdens and approaches resulting from the Directive's narrowed personal scope.

Companies should:

- Continue engaging with business partners, including those outside of the Directive's personal scope, through ongoing dialogue, information exchange and capacity-building support to ensure a meaningful approach to due diligence throughout chains of activities and with consideration of expectations under other due diligence-related EU instruments.
- Provide proportionate support to and engage with SME business partners to enable meaningful information gathering and collaboration throughout the process of human rights due diligence without shifting expectations onto SMEs.

Stakeholders, including civil society actors and rightsholders' groups, NHRIs, trade unions, and community and workers' organisations can use the implementation phase to systematically collect and document an evidence base that could support expansion of the personal scope of the CSDDD in the context of the review clause.

2 Material scope:

As we highlight throughout the guide, the way in which the material scope is defined could create threshold questions which could unnecessarily divert resources away from companies undertaking meaningful due diligence. To avoid this outcome, companies should be encouraged to take an approach which aligns with the UNGPs and consider the full range of rights under the core human rights instruments. Clarification could be given in transposition laws facilitated by Commission-led transposition workshops, as well as in the provision of clear guidance.

Attention points for transposition

Member States and the Commission should:

- Pursue further alignment with the UNGPs by including a broader range of rights and instruments in the Annex during the national transposition processes.
- In order to ensure a common approach to transposition, implementation and supervision across the EU, seek clarification and guidance from the Commission on how the material scope is defined, including: the definition of "abuse" and how the three conditions in the definition of adverse human rights impact should be interpreted, i.e.: (a) that a company can abuse a right; (b) that an abuse of a right directly impairs a protected legal interest; and (c) that a company could have reasonably foreseen the risk of an abuse and how this requirement should interact with the impact identification obligation under Article 8.

Attention points for implementation

The Commission should:

- Ensure that guidance adequately covers the material scope, providing clarification to companies in scope such as with regards to the listed rights and instruments of the Annex, including by encouraging companies to consider the full spectrum of internationally recognised human rights.
- Ensure that the European Network of Supervisory Authorities can be used to facilitate a common understanding of and approach to the material scope among Supervisory Authorities across the EU.
- Consider the inclusion of other internationally recognised rights during the review of the instrument.

Companies should:

- Approach their due diligence in line with the expectations of the UNGPs to consider all internationally recognised human rights when identifying their human rights impacts, rather than being drawn into complex threshold and interpretation questions.
- Be attentive to the human rights impacts of environmental impacts and vice versa rather approaching environmental and human rights impacts in a siloed manner
- Take measures and develop strategies to combat climate change and its related impacts on human rights as part of their due diligence. These may include conducting human rights and environmental due diligence across value chains to identify and address human rights and environmental impacts, including those related to climate change, disclosing greenhouse gas emissions, taking measures to reduce emissions in line with climate mitigation goals, and ensuring safeguards against greenwashing and undue corporate influence.

Stakeholders, including civil society actors and rightsholders' groups, NHRIs, trade unions, and community and workers' organisations can:

- Advocate for broadening the scope of human rights and instruments included in the Annex.
- Highlight the challenges of interpretation outlined above with the relevant national authority and encourage them to seek clarification from the European Commission on how the three conditions in the definition of adverse human rights impact will work.
- Use the implementation phase to systematically collect and document evidence base that could support for expansion of the material scope of the CSDDD in the context of the review clause.

3 Foundational concepts – "appropriate measures":

The concept of "appropriate measures" is fundamental, setting a standard for how companies are expected to meet their due diligence obligations. It centres the need for companies to take a proportionate, purposive approach, grounded in the context in which the impact occurs. It is built into obligations to identify impacts, take actions to address them, remediate and engage with stakeholders. It is a concept with a number of elements, including a requirement that measures taken be capable of achieving the objectives of due diligence by effectively addressing adverse impacts. It is important that transposition laws accurately capture this concept, and that guidance clearly emphasises key elements, such as effectiveness, in order to drive a purposive approach to due diligence.

Attention points for transposition

Member States and the Commission should:

- Ensure that national transposition laws faithfully reflect and translate the different components of the concept of "appropriate measures", i ncluding effectiveness, proportionality and severity, and support a purposive

interpretation of the CSDDD that promotes effective risk prevention and mitigation rather than formalistic or tick-box compliance.

- Ensure that national transposition laws reflect the CSDDD's concept of risk factors to support risk-based, context-sensitive due diligence and avoid formalistic interpretations and implementation.
- Reflect the concept of proportionality in a way that ensures that appropriate measures are commensurate with the severity of impacts and what is reasonably available to companies, taking into account risks and context.

Attention points for implementation

Companies should:

- Approach the development of appropriate measures with pragmatism and result-orientation that aims to fulfil the objective of due diligence by emphasising the importance of the effectiveness criterion.
- Develop and implement appropriate measures which seek to effectively address the identified potential and actual impacts bearing in mind the specificities of a given context, including proportionality (driven by the severity criterion) and what is reasonably available to the company.

The Commission and Member States should:

- Ensure that the guidance emphasise the notion of "effectiveness" as underpinning the development and implementation of appropriate measures by emphasising a proactive, pragmatic and context-specific understanding of due diligence.

Stakeholders, including civil society actors and rightsholders' groups, NHRIs, trade unions, and community and workers' organisations can:

- Throughout implementation, highlight the importance of effective measures of due diligence by documenting emerging good practices and building the capacity of implementing actors.
- Monitor the design and implementation of appropriate measures by evaluating them against the concepts of effectiveness, proportionality and availability.

4 Scope of due diligence:

The CSDDD applies due diligence obligations in respect of own operations, those of subsidiaries and business partners within a company's "chain of activities" rather than covering the whole value chain. In spite of this limitation, it is important for companies to keep in mind impacts which may arise as a result of their own operations but which occur in parts of the value chain not covered by the definition of chain of activities, including impacts felt in parts of the downstream value chain. Companies should be encouraged to adopt an approach in line with the expectations of the UNGPs to avoid diverting resources to excessive assessments of whether a particular business relationship is in scope of the law, diverting resources away from conducting due diligence.

Attention points for transposition

Member States should:

- Consider expanding the definition of the "chain of activities" in transposition laws to include parts of the downstream value chain, such as the use of the product or service, design, composition, commercialisation, sales, marketing, disposal and waste management. Such an approach would align with the UNGPs and reflect the ongoing downstream due diligence practices of companies.
- Ensure that transposition laws do not use unduly restrictive language that limits downstream due diligence to distribution, transport, and storage only, but rather emphasises that companies' own operations due diligence requires consideration of a broader range of downstream impacts, including those arising from the design, sales, and marketing of products and services.

Attention points for implementation

Member States and the Commission should:

- Encourage companies to engage with impacts across the value chain, including downstream impacts which may arise through own operations activities such as the design, sales, and marketing of products and services, and ensuring that due diligence is not artificially constrained by strictly defined steps in the chain of activities.
- Provide guidance on the types of downstream impacts arising from companies' own operations and the possible effective measures to address them, drawing from emerging good practice.

Companies should:

- Align approaches with the UNGPs rather than diverting resources into excessive processes to evaluate whether a particular business relationship falls within the definition of chain of activities
- Conduct due diligence on downstream impacts as part of its due diligence on the design, sale, marketing, distribution and other aspects directly mentioned in the Directive.
- Consider other downstream steps that are not explicitly listed in the Directive and where companies may have adverse impacts, including with relation to the use of products, as well as end-of-life considerations related to circularity and waste management.

Stakeholders, including civil society actors and rightsholders' groups, NHRIs, trade unions, and community and workers' organisations can, monitor potential and actual adverse impacts throughout implementation occurring as part of companies' downstream value chain, as well as document examples of company practicing due diligence on their downstream value chain to contribute to the evidence base for revision of the definition of "chains of activities" in the context of the review.

5 Adopting a risk-based approach:

The risk-based approach is central to the due diligence process. Companies should be encouraged to take an approach aligned with the UNGPs, by focusing efforts where impacts are most severe and likely, engaging with business partners in a manner which is targeted, proportionate and reasonable.

Attention points for transposition

Member States and the Commission should:

- Ensure that transposition laws accord with the risk-based approach and relevant recitals
- Consider how companies are to interpret the restrictions on information requests under the CSRD (for reporting purposes) as opposed to the CSDDD (for the broader due diligence exercise), as well as how to connect such potential restrictions with the expectations under other EU instruments.

Attention points for implementation

The Commission and Member States should:

- Provide guidance for in-scope companies on how to calibrate their measures when requesting an appropriate level of information from business partners that is "targeted, reasonable and proportionate", to facilitate information requests commensurate with the level and nature of the risk, as well as the type and size of the business partner from whom the information is sought.
- Guide companies on how they should navigate the CSDDD's limitations on information requests in the context of overlapping due diligence obligations under other EU instruments, in order to promote consistency, legal certainty and effective risk identification.

Companies should:

- Focus on risks to people and the environment, rather than risks to the business.
- Scope their general operations and business relationships to identify higher risk areas across their operations and value chains and undertake more detailed and specific assessment of areas identified as high risk during the in-depth assessment stage to support the effective prioritisation of the most severe and likely impacts.
- Continue meaningful engagement with NHRIs and civil society actors, alongside stakeholders formally defined in the Directive, even if these actors are not included within the stakeholder definition. This ensures that information reasonably available from them is duly considered in the scoping exercise conducted as part of the adverse impact identification process.
- Adopt a pragmatic approach to implementing the identification obligations

and allocate their resources where impacts are most severe and most likely, in a tier-agnostic fashion.

- Treat the limitations on information requests not as a constraint but as an incentive to design more proportionate, targeted and reasonable engagement with business partners, and tailor supplier assessments based on relevant risk factors, contextual considerations and the results of their scoping exercises.
- Embed human rights considerations into existing operational processes such as procurement, tendering, supplier onboarding, audits, and other routine interactions with business partners, which, in turn, can help companies to frame information requests in a more targeted and proportionate manner.
- Where uncertainty arises, seek guidance from Supervisory Authorities or other relevant experts on how information requests can be appropriately designed and tailored.
- Approach the identification exercise broadly and assess potential impacts across operations and value chains without treating foreseeability criteria under the definition of "adverse human rights impact" as a preliminary threshold that limits the range of risks examined.
- Be attentive to similarities and differences between the impact identification obligation go the CSDDD and impact assessment exercise under CSRD and avoid treating them as one. As acknowledged in the ESRS, impact identification as part of HREDD should inform impact materiality assessment.

Stakeholders, including civil society actors and rightsholders' groups, NHRIs, trade unions, and community and workers' organisations can:

- Continue to support the effective identification of adverse impacts in the given context and advocate for greater clarity where terms remain ambiguous. They can also highlight the range of methods companies use to identify and assess risks and contribute to improved identification practices.
- Provide context-specific insights on human rights and environmental risks in a given jurisdiction, including gaps in legal frameworks, challenges with enforcement and systemic issues. This input can be provided through stakeholder engagement processes conducted by the companies.
- Support other rightsholders in bringing their perspectives at the impact identification stage, including by facilitating access to and dialogue with potentially affected stakeholders.

6 Prioritisation

Companies are entitled to prioritise their efforts to address impacts where it is not possible to address all impacts at once. Consistent with the UNGPs, companies should be encouraged to prioritise only when necessary, and base their prioritisation decisions primarily on the severity of an impact, with likelihood as a secondary consideration.

Attention points for transposition

Member States and the Commission should:

- Provide clarification to emphasise that, in line with the UNGPs, the severity of impacts should remain a central consideration in prioritisation decisions. Such clarification would help ensure that prioritisation practices remain aligned with the risk-based logic of human rights due diligence and avoid the risk that severe impacts are overlooked due to a lower perceived probability or financial materiality.
- Clarify that severity and likelihood function only as criteria for sequencing due diligence actions. They do not relieve companies of their broader responsibility to address less severe or less likely identified impacts gradually once the most severe impacts have been addressed, until all actual and potential human rights impacts are duly covered.

Attention points for implementation

Member States and the Commission should:

- Provide guidance clarifying that companies should prioritise most severe and likely adverse impacts, wherever they occur in the value chain, without an undue focus on direct business partners.
- Explain, in guidance, how companies can evaluate severity and likelihood, as well as how to meaningfully prioritise impacts without risking worsening the level of severity and likelihood of other unaddressed impacts, including those that occur at the level of indirect business partners. Such guidance should avoid overly prescriptive approaches while providing clear indications or methodologies for adopting pragmatic approaches to prioritisation and for explaining prioritisation methodologies.

Companies should:

- Adopt a pragmatic approach to implementing the identification obligations and allocate their resources where impacts are most severe and most likely, in a tier-agnostic fashion.
- Consider documenting prioritisation decisions and their rationale. This may include, for example, providing contextual information on the factors considered in assessing severity and likelihood, summarising insights gained through stakeholder engagement, explaining how the prioritisation of certain impacts fits within the broader landscape of identified adverse impacts, and outlining how other identified impacts are expected to be addressed progressively once the most severe or most likely impacts have been prioritised.
- Allocate resources to address the most severe and likely impacts as a priority, but not ignore other identified impacts solely because they are not the most severe, even if there are no repercussions in the form of penalties.

Stakeholders, including civil society actors and rightsholders' groups, NHRIs, trade unions, and community and workers' organisations can:

- Advocate for the adoption of clear language in guidance reflecting the above considerations, in particular emphasising that prioritisation should remain aligned with the risk-based approach to HREDD and should not lead to an undue focus on direct business partners.
- Engage with and monitor companies' prioritisation strategies to assess whether severe impacts across the value chain are being effectively considered and addressed, including those arising at the level of indirect business partners,
- Share insights through stakeholder engagement and support rightsholders to help ensure that prioritisation decisions reflect the contextual realities and severity and likelihood of impacts as experienced by rightsholders.

7 Taking appropriate measures to address impacts:

Companies are expected to take appropriate measures to address impacts they have identified. This also requires a purposive approach which is informed by the company's involvement in the impact, as well as the nature of the impact and the context in which it arises. Companies should be encouraged to develop innovative approaches guided by the requirement that measures taken to address impacts be effective and capable of achieving the objectives of due diligence. In doing so, they should be encouraged to consult with stakeholders to ensure that measures are fit for purpose and meet the needs of affected people and the environment.

Attention points for transposition

Member States and the Commission should:

- Ensure national laws highlight the need for appropriate measures to be effective and undertaken consistently with the principles of the risk-based approach rather than taking a compliance-driven approach by undertaking only the measures a company "shall" take in Articles 10(2) and 11(3). Transposition could make clear that Articles 10(2) and 11(3) set out an open rather than a closed list of measures and that contractual assurances can be used by companies to fulfil their due diligence obligations but cannot be used to "contract out" their obligations.
- Ensure that national transposition of the CSDDD reflects the standards set by the UNGPs by embedding responsible disengagement requirements, including treating disengagement as a measure of last resort where meaningful improvement remains possible; assessing and consulting affected stakeholders on potential social, economic, and remediation-related impacts; and requiring corrective and preventive action plans with clear, time-bound milestones that strengthen company leverage and support continuous improvement in addressing adverse impacts.

Attention points for implementation

Member States and the Commission should:

- Clarify the notions of "cause" and "jointly cause" to determine appropriate measures, and to conceptualise involvement as a spectrum rather than set categories that may drive a compliance approach.
- Provide guidance and concrete examples, as well as gather case study examples, of innovative approaches of due diligence, including on the deeper tiers of chains of activities.
- Support the development of innovative and pragmatic measures of due diligence by the companies and prevent the uptake of a compliance-based approach whereby companies only apply the measures listed in Articles 10 and 11.
- Provide guidance clarifying that a purposive approach should be taken to the application of suspension by recognising it primarily as a leverage enhancing measure aimed at facilitating addressing identified adverse impacts in the operations of business partners.

Companies should:

- Not interpret the list of measures in Articles 10 and 11 as exhaustive, and instead design and implement due diligence measures focusing on whether the measure is effective to tackle identified adverse impacts, such as by considering the specificities of the impacts, where those occur in the value chain, the businesses involved, etc.
- When developing appropriate measures, consider the involvement framework as a spectrum rather than rigorous categories to determine action.
- When implementing suspension measures, continue to work with the supplier towards a solution and use any increased leverage resulting from the suspension to address identified adverse impacts, and engage with a broad range of stakeholders to ensure that any decision to suspend or terminate a relationship is informed by stakeholders' concerns.
- Ensure that the decision to suspend a business relationship involves considerations of remediation to ensure that any adverse impacts that occurred before disengagement and during disengagement have been remediated, and consult meaningfully with stakeholders even where there are no express obligations to do so.

Stakeholders, including civil society actors and rightsholders' groups, NHRIs, trade unions, and community and workers' organisations can:

- Develop case studies and examples of innovative approaches to due diligence, underlining the pragmatic and holistic nature of human rights due diligence in line with international standards.
- Share evidence on emerging company practices such as the use of human rights impact assessments, the empowerment of trade unions and civil society, long-term collaboration and capacity building with business partners, and sector-level initiatives.
- Support rightsholders in bringing their perspectives at this stage of due diligence, including by facilitating access to and dialogue with potentially affected stakeholders.

8 Stakeholder engagement

Stakeholder engagement is one of the most critical means of ensuring that due diligence efforts are appropriate and effective. Omnibus I amendments reduced the scope of the stakeholder engagement obligations in the instrument and the range of stakeholders formally included in the definition. Nonetheless, companies are encouraged to take a broad approach to stakeholder engagement, seeing it not as a burden but as an opportunity to target its efforts and ensure that measures taken are effective and meet the needs of stakeholders.

Attention points for transposition

Member States and the Commission should:

- Capture in transposition laws that stakeholder engagement is core to the due diligence process and is not an "add-on", to encourage a broader approach to engagement throughout the due diligence process and adequately translate the concept of meaningful stakeholder engagement.
- Consider broadening the definition of stakeholders to include civil society actors and NHRIs, and giving these stakeholders prerogatives to meaningfully engage with policymakers and companies to inform the effective implementation of the CSDDD.

Attention points for implementation

Member States and the Commission should:

- Provide necessary support to stakeholders to facilitate the exercise of rights in the CSDDD relevant to the national context and monitor, throughout implementation, that those rights are effectively exercised by stakeholders.
- Guidance should emphasise that stakeholder engagement is integral to the due diligence process and encourage companies to see engagement with stakeholders as a means of ensuring that due diligence efforts will be effective.
- Clarify through guidance and practical examples that the use of experts, multi-stakeholder initiatives or industry initiatives should only be used to support stakeholder consultation where it is appropriate to do so and cannot substitute for meaningful stakeholder engagement.

Companies should:

- Seek to engage with a broad range of stakeholders, including NHRIs and civil society actors, throughout all steps of the due diligence process to ensure that their measures are appropriate and effectively tailored to the relevant context and impacts, and are informed by the needs, concerns, and knowledge of stakeholders.
- Work, including with other actors, to address barriers to access of engagement processes to ensure that engagement is meaningful and conducted in a way that provides safety, transparency and trust with stakeholders and prevents stakeholder fatigue.

Stakeholders, including civil society actors and rightsholders' groups, NHRIs, trade unions, and community and workers' organisations can:

- Proactively engage with companies throughout their human rights due diligence processes by leveraging their role as human rights experts in their jurisdictions and or programme countries.
- Support other stakeholders, especially potentially affected stakeholders, in engaging with companies, including by providing capacity-building on the CSDDD, avenues for engagement and the existing rights and prerogatives in the law.

9 Monitoring

Companies are obliged to monitor their due diligence to ensure that they are adequate and effective. They are obliged to do this without undue delay where a significant change occurs or where there are reasonable grounds to believe that due diligence measures are no longer adequate or effective or that new risks have arisen. While the monitoring provision specifies that these assessments must be undertaken at least every five years, it is important that transposition laws and guidance clearly indicate that companies are expected to have ongoing monitoring processes, and that undertaking an assessment every five years will be insufficient to meet obligations to monitor effectiveness and adequacy.

Recommendations for transposition

Member States and the Commission should:

- Adequately capture the concepts of human rights due diligence as an ongoing process of continuous learning to avoid a compliance-based approach whereby companies only conduct an assessment of their potential adverse impacts every 5 years.

Recommendations for implementation

Member States and the Commission should:

- Ensure that guidance emphasises all elements of the monitoring article, namely that companies must undertake assessments without undue delay where a significant change occurs and at least every five years, or where there are reasonable grounds to believe that due diligence measures are no longer adequate or effective or that new risks have arisen.
- Emphasise in guidance that companies cannot simply conduct a monitoring assessment every five years, without also being alive to potential changes in circumstance which may require adjustments to their due diligence efforts.
- Clarify, through guidance and practical examples, the types of situations that constitute a significant change or create reasonable grounds to believe that

measures are no longer adequate or effective, or that new risks of adverse impacts may arise.
- Guide companies to develop monitoring indicators and regularly assess the effectiveness of their due diligence measures by encouraging a proactive approach.

Companies should:
- Conduct frequent and regular monitoring to ensure that their measures remain effective in addressing identified risks and responsive to emerging risks and evolving operating contexts.
- Go beyond the Directive's minimum requirements and engage stakeholders when developing monitoring indicators and designing their monitoring efforts, to ensure their measures remain effective in addressing identified risks and responsive to stakeholders' needs and concerns.

Stakeholders, including civil society actors and rightsholders' groups, NHRIs, trade unions, and community and workers' organisations can:
- Monitor the implementation of companies' due diligence measures, including the follow-up they conduct to verify their effectiveness and adequacy and support the development of monitoring indicators.
- Make companies aware of potential new risks and significant changes which would constitute "reasonable grounds" to assess due diligence measures.

10 Complaint mechanism

Companies are required to have a process by which affected people, their representatives, CSOs and trade unions are able to make complaints or submit notifications. Companies must be directed to develop or participate in mechanisms which meet the effectiveness criteria set out in the UNGPs and encouraged to involve stakeholders in their design and operation.

Attention points for transposition

Member States and the Commission should:
- Ensure that transposition laws reflect the CSDDD's intent that grievance mechanisms support early identification and remediation of adverse impacts, including by aligning national requirements with the effectiveness criteria set out in the UNGPs and avoiding approaches that reduce grievance mechanisms to formal or purely procedural tools.

Attention points for implementation

Member States and the Commission should:

- Provide clear guidance on how companies can fulfil their obligation to set up or participate in grievance mechanisms, including through shared, sectoral, or multi-stakeholder mechanisms, in a manner that promotes accessibility and effective use across value chains.
- Promote meaningful stakeholder involvement in the design and operation of grievance mechanisms, including engagement with rights-holders, worker representatives, CSOs, and NHRIs, to enhance trust, contextual relevance, and the quality of information feeding into due diligence processes.
- Provide guidance throughout implementation on how to ameliorate grievance mechanisms to ensure better use by potential victims of harms.
- Actively raise awareness with different stakeholders about the different remedy mechanisms which exist in a given jurisdiction, and provide clear guidance as to how those interact with companies' grievance mechanisms.
- Ensure that fitness criteria for MSIs and Industry Initiatives address the role that they may play in providing collaborative mechanisms.

Companies should:

- Design grievance mechanisms that meet the UNGPs' effectiveness criteria to ensure that potentially affected rightsholders effectively access, trust and make use of the mechanisms, paying due care for the safety of users.
- Consider developing different mechanisms or mechanism entry points for different users, such as for the company's own workers, workers in the value chains, end-users and consumers, and communities.
- Ensure that there are effective processes in place to guard against the risk of retaliation.
- Use the information received through complaint procedures and notification mechanisms to facilitate impact identification and prioritisation processes and the monitoring of the effectiveness of due diligence measures.
- Ensure ongoing and iterative due diligence systems capable of remaining responsive to grievances and triggering in depth assessments where necessary.

Stakeholders, including civil society actors and rightsholders' groups, NHRIs, trade unions, and community and workers' organisations can:

- Support rightsholders in accessing grievance mechanisms by raising awareness of their existence, functioning and the rights and protections that must be afforded to victims of harms.
- Engage with companies and monitor the operationalisation of their complaint procedures to ensure that their complaint processes are designed and implemented in a way that is compatible with the Directive's requirements and consistent with the UNGPs effectiveness criteria.
- Submit complaints through the companies' complaint procedures to ensure that affected rightsholders' needs and concerns are taken into consideration when tailoring appropriate measures and providing remediation.

11 Supervision and support

Policymakers at the EU and national levels are required to supervise compliance of in-scope companies and provide a range of guidance and support measures both to companies and to other stakeholders. It is important that the approach to supervision and support given through guidance and other measures also reflect the purposive approach to the CSDDD, ensuring that the law does not encourage a compliance-focused approach, but rather drives practices which are capable of effectively addressing impacts.

Attention points for transposition

Member States and the Commission should:

- Ensure that the appointed Supervisory Authorities (SAs) are independent, adequately resourced and equipped with the necessary expertise, including in human rights, environmental protection and corporate human rights due diligence practices to deliver on the different facets of their mandate to supervise the implementation of the Directive.
- Clearly reflect in transposition laws the prerogatives of SAs, including their authority to request information, conduct investigations, impose sanctions, and cooperate with other national and EU-level bodies, to ensure legal certainty and effective enforcement.
- Ensure coherent interaction between supervision of the CSDDD and other instruments which regulate business impacts on human rights and the environment.
- Engage with other stakeholders, such as NHRIs, in Member States to explore avenues for collaboration and information exchange during implementation.

Stakeholders, including civil society actors and rightsholders' groups, NHRIs, trade unions, and community and workers' organisations can:

- engage with policymakers on the designation and the design of the SAs, to advocate for the provision of adequate resources and competencies and to ensure that they meet the requirements of independence, impartiality and transparency. Engaging on these questions in the transposition phase can help determine how best to engage with the SAs in the implementation phase.

Attention points for implementation

Member States and the Commission should:

- Coordinate and encourage information sharing between SAs to enable a harmonised approach to supervision across the EU.
- Ensure that SAs have the adequate resources, both human and financial, over time, to deliver on their mandate.
- Promote a common understanding of key due diligence concepts among SAs,

as well as evolving risk factors in jurisdictions in and outside the EU.

- Facilitate cooperation between SAs and other relevant bodies, such as NHRIs, labour inspectorates, environmental authorities and judicial bodies, to strengthen information-sharing, complementarity, and access to remedy within the broader accountability ecosystem.
- Monitor and address imbalances in supervisory capacity and caseload across Member States, including where narrowing of the Directive's personal scope results in uneven supervisory burdens, to safeguard effective and credible enforcement across the Union.
- Clarify through guidance that the use of industry initiatives and MSIs, verification and other external support systems cannot be used as a substitute for due diligence; rather, they should be used only to facilitate or support a holistic, risk-based approach to due diligence, and that ultimate responsibility for due diligence remains with the company.
- Actively engage with stakeholders in developing and implementing guidance and fitness criteria on the use of initiatives and verification, to ensure they meaningfully addresses the well-documented shortcomings of these schemes and establishes robust institutional and operational fitness criteria.
- Support third countries through guidance, tools, and resources, as well as other accompanying measures such as development cooperation and trade policy to create an enabling environment in third countries.
- Develop accompanying measures targeting not only on supporting European companies but also on non-EU companies and other relevant actors, including CSOs, trade unions and NHRIs, both within and outside the EU.

Companies should:

- Engage constructively and transparently with SAs, recognising their role in supporting effective and consistent implementation, and providing timely, accurate and well-substantiated information when requested.
- Monitor guidance, enforcement practice, and emerging expectations from SAs, including across Member States where relevant, and adjust internal due diligence processes accordingly.

Stakeholders, including civil society actors and rightsholders' groups, NHRIs, trade unions, and community and workers' organisations can:

- Monitor the exercise of the SAs mandate to ensure that it operates in an independent, impartial, and transparent manner.
- Raise awareness about the role of SAs to different stakeholders, including companies and potentially affected rightsholders.
- Share information with SAs, by raising concerns, systemic human rights issues and emerging risks.
- Explore potential collaboration opportunities to develop the SAs' capacity on human rights and discharge its monitoring and enforcement function.
- Advocate during transposition and implementation for clear legislative safeguards ensuring the responsible use of industry initiatives and MSIs, and can monitor and scrutinise corporate practice to ensure that such mechanisms are not relied upon in a manner inconsistent with the UNGPs.
- Engage with national policymakers on the development of information accessibility and support measures.

- Identify gaps in Member States' existing information and support measures and engage with Member State authorities on which support measures to prioritise and on ensuring that they are fit for purpose and tailored to the relevant national context.

12 Remediation

The CSDDD includes an overarching obligation on Member States to ensure that companies provide remediation for impacts that they cause or jointly cause, with options for companies to voluntarily provide remediation outside of those circumstances. There are a number of mechanisms through which remediation could be given, including through orders of a SA, a company complaint mechanism or civil liability. These mechanisms must be fit for purpose and be capable of providing remediation within the definition of the CSDDD, namely restoration of the affected people, communities or the environment to the position they would have been in had the impact not occurred. This may require policymakers to examine their liability frameworks and ensure that the SA's processes for receiving substantiated concerns adhere to the effectiveness criteria spelt out in the UNGPs. Companies must discharge their remediation obligations, including by engaging meaningfully with stakeholders, participating in remediation processes and through their complaint mechanisms.

Attention points for transposition

Member States should:

- Examine existing liability regimes in their jurisdictions to assess whether these are fit to provide access to remedy and full compensation for victims and use the margin of discretion in the CSDDD to revise liability regimes where gaps have been identified.
- Take steps to identify and address barriers to access to justice though legal and institutional measures.
- Specify that the CSDDD is of mandatory overriding application.
- When designing the SAs and the substantiated concern mechanisms, ensure consistency with the UNGPs' effectiveness criteria.
- Design the substantiated concern mechanism with consideration of its place in and interactions with the broader remedy landscape, including by clarifying its interaction with national civil liability regimes and other remedy mechanisms available. This should be coordinated at the level of the Commission to ensure a consistent approach across Member States.

The Commission should:

- To create legal certainty, use transposition workshops to encourage Member States to examine their national liability regimes, including procedural rules, to assess that they can provide remediation under the CSDDD.
- Encourage a common approach to making the CSDDD transposition provisions of overriding mandatory application consistent across the EU to avoid

fragmentation and create legal certainty.
- Conduct a survey of existing avenues for liability and potential and actual barriers to accessing full compensation and remedy for rightsholders across EU jurisdictions, including to inform the review of the Directive.

Stakeholders, including civil society actors and rightsholders' groups, NHRIs, trade unions, and community and workers' organisations can advocate for the recommendations made above in their respective jurisdictions and with the Commission at EU-level.

Attention points for implementation

Member States and the Commission should:
- Address barriers to access to remedy, particularly in transnational litigation, to ensure victims' effective right to remediation and full compensation.
- Cooperate to support the consistent implementation of liability rules across the EU through guidance, exchange of information and examples of practice to avoid further fragmentation and uneven protection.
- Actively monitor implementation by commissioning an analysis of the procedural aspects and outcomes of civil liability cases as they arise to identify barriers and needs for potential adjustments through legal revisions.
- Cooperate, in coordination with the Commission, to examine how the liability mechanisms interact with other access to justice measures of the CSDDD.
- Ensure that substantiated concern procedures are designed and implemented in a way that is consistent with the UNGPs' effectiveness criteria and contributes to effective supervision and enforcement.
- Ensure that clear information is available on the substantiated concern procedures, the type of matters which can be referred to SAs, and how complaints will be handled in a transparent and accessible manner, non-retaliation protections for complainants.
- SAs send a clear signal to rightsholders by actively using the powers of investigation and enforcement.
- Ensure clarity around the interplay between the substantiated concerns mechanism under the CSDDD and other complaints and grievance mechanisms at the national level, including, where relevant, NCPs for Responsible Business Conduct.
- SAs draw on the interpretive practice developed through NCP-specific instances when interpreting due diligence obligations, to the extent that the CSDDD aligns with the OECD Guidelines.
- Engage the European Network of Supervisory Authorities to facilitate consistent approaches to substantiated concerns.

Companies should:
- Avoid designing due diligence with the primary objective of avoiding litigation risk, rather than effectively addressing impacts.
- Document and, where relevant, transparently disclose decision-making

processes related to the due diligence process to demonstrate the company's approach to impact identification, assessment, prioritisation and the actions that have been taken to address those impacts.

- Engage meaningfully and proactively with rightsholders when identified risks may lead to remediation, including civil liability, to support early resolution and effective remediation.
- Prepare to engage in good faith in potential civil liability cases by providing access to internal documents and processes and with a view of enabling an effective access to remedy and full compensation for victims, where relevant.
- Anticipate transnational litigation risks, including differences in applicable law, jurisdiction, and evidentiary standards and reflect these considerations in group-wide due diligence and governance frameworks.
- Monitor developments in case law to identify where certain due diligence processes and practices could be adapted.

Stakeholders, including civil society actors and rightsholders' groups, NHRIs, trade unions, and community and workers' organisations can

- Support access to remedy for victims of harms by providing information, supporting documentation of harms and linking those to companies' due diligence processes and operations.
- Engage with policymakers and judicial actors in their jurisdictions and across the EU to highlight systemic access to justice barriers and where reforms would be needed to enable effective access to remedy.
- Where possible and appropriate, support or initiate strategic litigation cases, which can support a better understanding and interpretation of the due diligence obligations of the Directive in practice.
- Monitor and gather evidence on the experiences of liability cases in their jurisdictions to inform future guidance and revisions to legal frameworks.
- Plan how best to monitor the way SAs receive and address substantiated concerns, including ensuring that they are dealt with without undue delay. This could include monitoring the adequacy of administrative or judicial review processes available in respect of decisions of the SAs.
- Plan for awareness-raising about the substantiated concerns processes and provide support to rightsholders using these processes.
- Develop a solid evidence base examining how access to justice in relation to the CSDDD is operating across the Member States. NHRIs, in particular, can facilitate a cross-jurisdictional survey of national civil liability frameworks drawing on their expertise as national human rights, institutions, to assess how civil liability mechanisms function in practice.

The Guidance elaborates on each of these recommendations and is intended to drive engagement with the CSDDD in a way that is capable of meeting its objectives. It is clear that the UNGPs have continued relevance, both in ensuring coherence at these various levels of policy and regulation, but also to ensure that due diligence is being implemented in the spirit of the framework and consistent with its objective: to create a global standard of practice expected of States and business, enabling business to live up to their responsibility to respect human rights and to drive better outcomes for people.